Yaskawa Electric (6506.T): Conf. Call Takeaways: Focus on future production and procurement trends

Yuichiro Isayama
+81(3)4587-9806 |
yuichiro.isayama@gs.com
Goldman Sachs Japan Co., Ltd.

Takato Enoki
+81(3)4587-1739 |
takato.enoki@gs.com
Goldman Sachs Japan Co., Ltd.

During the afternoon of October 14, we hosted a conference call for domestic and foreign investors with Yaskawa Electric's Ayumi Hayashida, Director, Managing Executive Officer. We believe the call provided a clearer, more concrete picture of how management is currently concentrating its management resources, not only to cover the opportunity losses stemming from the 1H ERP issues, but also to respond without delay to the robust order environment. We see the main areas of focus as production trends, order trends, margin/cost trends, and trends in the company's core businesses. Below, we detail these points along with our views. We maintain our Buy rating relative to coverage.

Production trends: ERP issues behind us, production recovered in September, but future production increases and delivery normalization still warrant close attention

On a global basis, monthly production in 2Q was roughly flat qoq, with inverters and robots increasing output by more than 10%. As mentioned at the results briefing, the company said the production run-rate for servo motors at the end of September, on a monthly basis, was up by just over 20% compared to the 2Q average. While the company avoided citing specific absolute production levels, it noted that domestic servo motor production, the key area of focus, declined qoq in 2Q but recovered from September, and that production volumes at the end of September were now higher than in both 1Q and 4Q2/26. Regarding the production increases that the company has repeatedly mentioned, it said it aims to raise production further from the base level achieved at the end of September. More specifically, it plans to increase production further from the end of September through to November, the end of 3Q, at which point it expects single-shift utilization to reach 100%. The company also has plans to further ramp up production from December through February, 4Q, by increasing the number of lines running on a two-shift system and adding shifts in some cases. We also note that delivery delays caused by the ERP issues occurred to some degree in May-June, when the problem was at its worst, but that these have since been resolved. The current extension in lead times is said to be due largely to production and procurement constraints across the supply chain as a whole, exemplified by component procurement difficulties, rather than to ERP issues or factors specific to the company itself. We came away with the impression that management's attention is now focused on resolving these supply chain constraints.

Order trends: No signs of a demand slowdown, but managing order certainty

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remains important

Given the current order environment, where demand is clearly being driven to a large extent, directly and indirectly, by AI/data center (DC) demand, the company expressed a very positive view regarding order levels for servo motors and inverters, the two product areas receiving the most attention, saying it does not expect the growth rates seen in 1H to decelerate. Unlike in past cycles, it looks like the growth driver this time will not be premised on outsized growth in China, but rather on expanding capex appetite among global customers operating across various regions outside China, mainly Japan. The company was careful to frame this accurately, saying that rather than expecting the absolute value of orders to keep rising steadily from 2Q, growth rates themselves may fluctuate up and down, but orders are likely to maintain an uptrend going forward, in other words not decelerate.

The company's comments on order management were interesting. It explained that the basic form of an "order" is a project for which a formal purchase order has been received following the completion of a quotation process with the customer. In addition, longer-term forecast figures provided by customers are not booked as orders as they stand; instead, the company works with the customer to confirm the required timing and volume and breaks the figures down accordingly. Once this breakdown is complete, a portion of the forecast figures is then booked as orders, classified as an "Indication," while the remainder is kept as a "Forecast." The company said that the current robust demand environment reflects not only a surge in orders booked in the normal manner during the period, but also an increase in bookings of long lead-time Indications for future delivery. The proportion of orders related to such future deliveries has not been disclosed, and it is not clear how much of the disclosed order figure consists of actual orders versus Indications. The weighting of Indications, and the scale of Forecasts that have not been booked as orders, will be worth watching going forward.

The company also reiterated that it has never historically had an order cancelled by a customer. In every past downcycle, customers have reliably taken delivery of the orders they placed. However, the subsequent slowdown in new orders has stemmed from customers and the supply chain holding excess inventory, which discouraged new order placement. We believe the company was suggesting that this risk looks limited in the current cycle, given the very long-term investment appetite being shown by customers.

Procurement trends: Securing future supply while keeping an eye on order trends

We also want to touch on procurement, an area that has drawn particular attention following the 1H earnings announcement. The company emphasized that semiconductor procurement is currently its biggest challenge. For example, as mentioned at the briefing, while not every supplier requires a two-year commitment, the company said that procurement of semiconductors in general is likely to be the largest constraint it faces. In order to negotiate with semiconductor suppliers and to gain visibility into its own outlook, the company is working to identify genuine demand for its products based on customers' demand trends and production plans over the next one to two years. Based on this analysis, it is renegotiating procurement lead times and volumes with semiconductor suppliers and others. The company noted that procurement difficulties are not limited to foreign semiconductor suppliers, and that even if it secures 99% of the components it needs, it cannot complete a product if even a single component, or 1%, is missing. It said this is why it is working hard to secure the components it needs.

For example, as of today (fall 2026), Yaskawa is in discussions with customers regarding orders for spring 2027. If a customer were to approach Yaskawa with a demand volume of 120 units, and Yaskawa currently had visibility into securing procurement for 100 of those units, the company said it would likely still book the full order of 120 units. For the remaining 20 units, the company said it is making every effort to secure additional components to prevent delivery delays, while ensuring customer alignment/consent if any delay does arise.

Pricing trends: Full cost pass-through assumed for products where procurement is already secured

The company's comment that it wants to achieve a 70% pass-through of rising component costs actually means it expects a 100% pass-through for products where procurement is already secured and production can proceed smoothly. This implies that, within this fiscal year's plan, a certain portion of costs cannot be fully passed through in time due to lead times, and a further portion cannot be passed through because procurement has not yet been secured. Together, these two portions account for the remaining 30%, which the company will need to address going forward. Given that the company said it can achieve a 100% pass-through rate as long as production and delivery proceed smoothly, we interpret this as underscoring that securing reliable procurement is the single most important factor in achieving this goal.

Operating profit walk highlights: Total indirect costs look conservative, added value trends hinge on production and procurement

Materials disclosed by the company at the results briefing (LINK) show that FY2/27 guidance assumes total indirect costs will have a yoy operating profit impact of -¥17.6 bn, but that the 1H result of -¥6.3 bn represents a fairly low progress rate against this target. This suggests the company expects an impact of -¥11.3 bn in 2H, but given the difficult operating decisions the company currently faces, we think it is unlikely that the full amount will be used. We suspect this has largely been set aside as a buffer to help achieve the full-year profit plan.

On the other hand, it was clear that the trend in added value (which includes the profit impact of pricing, cost fluctuations, and production-related factors such as fixed cost leverage) depends heavily on production and procurement. Full-year guidance calls for a yoy increase in operating profits from higher added value of +¥4.1 bn, but the 1H result was -¥1.8 bn, meaning a 2H improvement of +¥5.9 bn is needed. The company expressed confidence that if it can achieve its currently planned production levels (a single shift plus some additional capacity from 3Q), the resulting profit boost should exceed this plan. The -¥2.7 bn 1H impact on added value in the MC business was almost entirely attributable to servo motors, and if this product sees a full-fledged turnaround and recovery, it should be more than enough to offset this shortfall. We will continue to focus on production and procurement trends.

Business segment highlights: AI/DC driving company-wide earnings

Asked how much of company-wide sales so-called AI/DC-related sales account for, the company said this is difficult to determine precisely. In the past, we had seen estimates suggesting this figure was around half of servo motor sales, mainly from electronic components and semiconductors. However, the company now indicates that demand

for inverters used in HVAC and oil & gas applications is also indirectly linked to data centers and power infrastructure, and that while semiconductor robots (SER) are directly tied to semiconductor-related applications, some general industrial robots (INR) may similarly be indirectly linked to AI/DC-related applications. We suspect that AI/DC-related sales may now account for more than half of company-wide sales.

- Servo motors: As discussed above, demand related to AI/DC via semiconductors and electronic components is the main driver, and the challenge lies more in production and procurement than in demand. The company stated clearly that servo motor order momentum remains on an uptrend, and that it does not expect a slowdown or decline. However, rather than meaning that orders will keep rising from the absolute level seen in 2Q, the company's intended meaning is that orders should continue to grow over the course of this fiscal year and the following two years. We also note that Japan stands out as the busiest production site, as it handles the manufacturing of high-precision, high-value-added products used mainly in semiconductor applications. Demand within China is not as outsized as it once was, suggesting there is likely to be some spare production and procurement capacity there. However, many customers prefer Japanese-made products over Chinese-made products, and because of certification issues, while many customers accept sourcing products from Japan to substitute for Chinese production, many are reluctant to accept the reverse-sourcing from China to replace Japanese production, even for the company's own products. It will be worth watching whether the company can expand sales of China-based production to customers elsewhere in Asia outside Japan, as well as to globally expanding customers originally based in China.
- Inverters: North America continues to be the main driver. In addition to AI/DC demand, oil & gas demand remains strong. As in 1Q and 4Q2/26, 2Q also saw large orders booked in the oil & gas field, and the company indicated the outlook is brightening further. Both HVAC and oil & gas projects tend to be highly profitable and appear to be supporting the company's earnings. Production and procurement issues are minimal here, and the company's comments conveyed a high degree of confidence. The remaining challenge going forward is accelerating localization in North America, but the company does not appear concerned about its ability to capture robust demand even while knockdown production remains the main approach. Overall, we came away with a favorable impression.
- Robots: Semiconductor robots (SER) are driving the increase in orders, and further profit growth from this segment will likely depend on raising its production capacity. According to the company, the upside surprise in SER orders has been notable, accounting for a substantial portion of the +¥7.9 bn qoq increase in robot orders from ¥69.7 bn in 1Q to ¥77.6 bn in 2Q. On the other hand, the roughly 10% increase in robot production from 1Q to 2Q was driven by general industrial robots (INR). SER production was affected by the ERP issues, and the company was also unable to sufficiently increase output due to labor resource constraints. Unlike INR, SER assembly processes rely heavily on manual labor, meaning that simply adding more workers cannot increase production even once components are available; a substantial training period is required. The company explained that for 2H, the key will be how much it can raise production volumes through measures such as shifting

to a two-shift system and working on holidays. How successfully the company can ramp up SER production to meet robust demand will likely be the key determinant of the robot business's earnings trajectory going forward.

Price Target Risks and Methodology - Yaskawa Electric (6506.T)
Our 12-month target price of ¥5,500 is based on FY2/28E-FY2/29E EV/EBITDA, applying the sector-average multiple of 9X and a 30% sector-relative premium.

Key downside risks include (1) a slowdown in semiconductor and AI Capex related business, (2) slower-than-expected results from cost optimization measures, and (3) slower than expected recovery from its ERP issues.

6506.T	12m Price Target: **¥5,500**	Price: **¥4,712**	Upside: **16.7%**

Buy

Market cap: ¥1.2tr / $7.7bn
Enterprise value: ¥1.3tr / $8.2bn
3m ADTV: ¥24.6bn / $153.9mn
Japan
Japan Industrials
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	2/26	2/27E	2/28E	2/29E
Revenue (¥ bn)	542.1	598.0	641.0	661.0
Op. profit (¥ bn)	47.3	57.0	81.0	89.0
Op. profit CoE (¥ bn)	48.0	57.5	–	–
EPS (¥)	135.9	174.7	247.9	275.7
P/E (X)	27.9	27.0	19.0	17.1
P/B (X)	2.0	2.4	2.3	2.2
Dividend yield (%)	1.8	1.5	2.1	2.3
N debt/EBITDA (ex lease,X)	0.9	0.9	0.7	0.6
CROCI (%)	8.0	11.7	13.9	14.5

	5/26	8/26	11/26E	2/27E
EPS (¥)	21.0	53.5	41.6	58.5

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 14 Oct 2026 close.

Disclosure Appendix

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Contributing Authors: Yuichiro Isayama Goldman Sachs Japan Co., Ltd., Takato Enoki Goldman Sachs Japan Co., Ltd..

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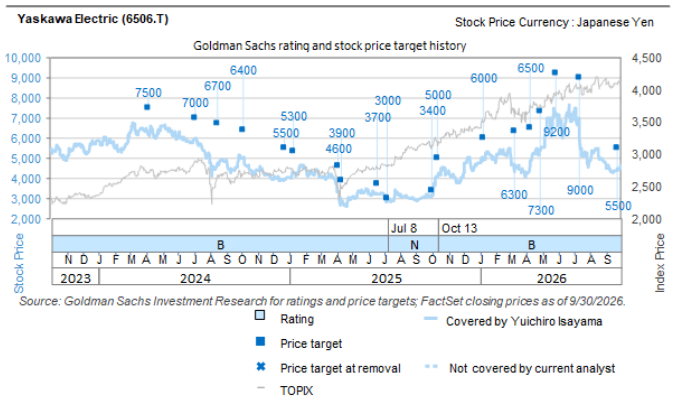
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Yaskawa Electric (6506.T)

Date of report	Target price (¥)	Closing price (¥)
24-Sep-26	5,500	4,507
13-Jul-26	9,000	5,972
28-May-26	9,200	7,136
29-Apr-26	7,300	5,381
10-Apr-26	6,500	4,894
09-Mar-26	6,300	4,325
09-Jan-26	6,000	5,026
13-Oct-25	5,000	4,085
03-Oct-25	3,400	3,178
08-Jul-25	3,000	2,833
20-Jun-25	3,700	3,190
11-Apr-25	3,900	2,881
06-Apr-25	4,600	3,344
10-Jan-25	5,300	4,271
24-Dec-24	5,500	3,950
04-Oct-24	6,400	5,023
16-Aug-24	6,700	4,796
05-Jul-24	7,000	5,972
05-Apr-24	7,500	6,174

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